

While deducting Income Tax from the gross pay of the employee, the employer acts as a (an) _____ for Income Tax Department.

- ▶ Agent of his own company
- ▶ Paid tax collection agent
- ▶ Unpaid tax collection agent
- ▶ None of the given options

Which of the following is very uncommon method of employee wage payments now a day?

- ▶ Payment by cash
- ▶ Payment by cheque
- ▶ Payment by bank transfer
- ▶ Payment through the Banks Automated Clearing System (BACS)

$$\left[\frac{\text{Time Allowed} - \text{Actual Time taken}}{\text{Time Allowed}} \times 100 \right] \times \text{Basic Pay} + \text{Bonus Pay}$$

Above mentioned formula is derivation of:

- ▶ Rowan Plan
- ▶ Halsey Premium Plan
- ▶ Halsey Weir Plan
- ▶ Merrick's differential system

The main difference between the profit center and investment center is:

- ▶ Cost incurrence
- ▶ Investment

- ▶ Decision making
- ▶ Revenue generation

The net profit or loss for a particular period of time is reported on which of the following?

- ▶ Income statement
- ▶ Balance sheet
- ▶ Statement of cash flows
- ▶ Statement of changes in owner's equity

Material requisition is a document that supports the requirement of the material. This document is sent to store in charge and approved by:

- ▶ Store manager
- ▶ Production manager
- ▶ Supplier manager
- ▶ Purchase manager

Which of the following best describe piece rate system?

- ▶ The increased volume of production results in decreased cost of production
- ▶ The increased volume of production in minimum time
- ▶ Establishment of fair standard rates
- ▶ Higher output is a result of efficient management

The variable costs of producing one wooden rocking horse are Rs. 24. The rocking horse is sold for Rs. 45. What is the contribution margin ratio?

- ▶ 38.9%

- ▶ 46.7%
- ▶ 53.3% = $24/45 \times 100$
- ▶ 87.5%

The break-even point is the point where:

- ▶ Total sales revenue equals total expenses (variable and fixed)
- ▶ Total contribution margin equals total fixed expenses
- ▶ Fixed cost plus Profit is equal to contribution margin
- ▶ All of the given options

Which of the following factor/s would cause the break-even point to change?

- ▶ Increased sales volume
- ▶ Fixed costs increased due to addition of physical plant
- ▶ Total variable costs increased as a function of higher production
- ▶ All of the given options

Keller Co. sells a single product for Rs. 28 per unit. If variable costs are 65% of sales and fixed costs total Rs. 9,800, the break-even point will be:

- ▶ 15,077 units
- ▶ 18,200 units
- ▶ 539 units
- ▶ 1,000 units

All of the following are the objectives of budgeting EXCEPT:

- ▶ Maximization of sales
- ▶ Profit maximization

► Compete with competitors

► Increased cost

Examples of industries that would use process costing include all of the following EXCEPT:

► Beverages

► Food

► Hospitality

► Petroleum

In a process costing system, the journal entry used to record the transfer of units from Department A, a processing department, to Department B, the next processing department, includes a debit to:

► Work in Process Department A and a credit to Work in Process Department B

Work in Process Department B and a credit to Work in Process Department A

► Work in Process Department B and a credit to Materials

► Finished Goods and a credit to Work in Process Department B

The point at which joint product costs become separately identifiable is known as the:

► Split-off point

► Relative sales value point

► Joint processing cost

► None of the given options

In comparing common cost and joint cost:

- ▶ The terms can be correctly used interchangeably
- ▶ Both have the same objective of assigning production cost to cost center
- ▶ They differ since common cost products or services have been obtained separately
- ▶ **Common cost is sometime used as Joint cost**

By using absorption costing method, which of the following is NOT shown in Income Statement?

- ▶ Cost of goods manufactured
- ▶ **Contribution margin**
- ▶ Selling and administrative expenses
- ▶ Cost of goods sold

Net income reported under direct costing will exceed net income reported under absorption costing for a given period if:

- ▶ The fixed overhead exceeds the variable overhead
- ▶ Production equals sales for that period
- ▶ Production exceeds sales for that period
- ▶ **Sales exceed production for that period**

The following monthly data are available for the Boarder, Inc. and its only product: Unit sales price = Rs. 36 Unit variable expenses = Rs. 28 Total fixed expenses = Rs. 50,000 Actual sales for the month of May = 7,000 units. The margin of safety for the company for May was:

- ▶ Rs. 6,000

▶ Rs. 27,000

▶ Rs. 56,000

▶ Rs. 106,000

During the year 60,000 units put in to process. 55,000 units were completed.

Closing WIP were 25,000 units, 40% completed. How much the equivalent units of output would be produced?

▶ 65,000 units

▶ 80,000 units

▶ 25,000 units

▶ 10,000 units

If sales is greater than cost, it means:

▶ Profit [sales > cost = profit]

▶ Loss $8000 - 4500 = +3500$

▶ Neither profit nor Loss

▶ Can not be determined

Cost apportionment is:

▶ The charging of discrete identifiable items of cost to cost centers or cost unit.

▶ The collection of costs attributable to cost center and cost unit using the costing method, principles and techniques prescribed for a particular business entity

▶ The process of establishing the costs of cost centers or cost units

► The division of costs among two or more cost centers in proportion to the estimated benefit received.

Which of the following cannot become a part of product cost under marginal costing?

- Direct labor
- Direct materials
- Variable manufacturing overhead
- Fixed manufacturing overhead

Which of the following cost line does NOT start from origin on a break even chart?

- Fixed cost line
- Variable cost line
- Revenue line
- None of the given options

Which of the following cost line starts from origin on a break even chart?

- Fixed cost line
- Total cost line
- Revenue line
- All of the given options

Product cost under absorption costing is characteristically:

- Higher than under variable costing
- Lower than under variable costing

- ▶ Equal to variable costing
- ▶ Higher sometimes and lower sometimes than variable costing

Once the fixed cost has been met, the remaining increase in contribution margin will be shows as which of the following option?

- ▶ Profit
- ▶ Variable cost
- ▶ Operating profit
- ▶ Sales volume

The master budget comprises:

- ▶ The budgeted profit and loss account
- ▶ The capital expenditure budget
- ▶ The budgeted profit and loss account, budgeted cash flow and budgeted balance sheet
- ▶ The budgeted cash flows

Consider the following data for the month of January:

Sales 600 units

Opening stock 80 units

If the closing stock has to be 50% higher than the previous month then production will have to be:

- ▶ 700 units
- ▶ 720 units
- ▶ 640 units

- ▶ 600 units

Usually the first step in the production of the master budget is the:

- ▶ Sales forecast
- ▶ **Sales budget**
- ▶ Cash budget
- ▶ Production budget

Which of the following budget is the most important in service organizations?

- ▶ **Production budget**
- ▶ Merchandise purchases budget
- ▶ Direct labor budget
- ▶ Direct materials budget

All of the following are balance sheet budgets EXCEPT:

- ▶ Selling and administrative expenses budget
- ▶ Cash budget
- ▶ **Accounts receivable budget**
- ▶ Liabilities budget

LG has incurred cost of Rs. 60,000 for material. Further it incurred Rs. 35,000 for labor and Rs. 70,000 for factory overhead. There was no beginning and ending work in process. 7,500 units were completed and transferred out. What would be the unit cost for material?

- ▶ **Rs. 22**
- ▶ Rs. 16

- ▶ Rs. 14
- ▶ Rs. 8

In a process costing system, the journal entry used to record the transfer of units from Department A, a processing department, to Department B, the next processing department, includes a debit to:

- ▶ Work in Process Department A and a credit to Work in Process Department B
- ▶ **Work in Process Department B and a credit to Work in Process Department A**
- ▶ Work in Process Department B and a credit to Materials
- ▶ Finished Goods and a credit to Work in Process Department B

A by product:

- ▶ Is produced from material that would otherwise be of no value
- ▶ Has a lower selling price than the main product
- ▶ **Is created along with the main product, but its sales value does not cover its production cost**
- ▶ Always produces a large amount of revenue than the main product

Net income reported under direct costing will exceed net income reported under absorption costing for a given period if:

- ▶ The fixed overhead exceeds the variable overhead
- ▶ Production equals sales for that period
- ▶ Production exceeds sales for that period
- ▶ **Sales exceed production for that period**

ABC Company reported sales of Rs. 150,000 (20,000 units). Fixed costs amounted to Rs. 20,000 and income for the period was Rs. 90,000. Determine the per-unit variable cost.

- ▶ Rs.1.00
- ▶ **Rs.2.00**
- ▶ Rs.4.50
- ▶ Rs.5.50

Blackhat Chimney Builders constructed 80 units during 1901. The total sales value for these 80 units was Rs. 460,000. Variable costs associated with each unit were Rs. 4,000 and the company's fixed costs for 1901 amounted to Rs. 50,000. How much was the per-unit contribution margin?

- ▶ Rs. 750
- ▶ Rs. 1,125
- ▶ **Rs. 1,750**
- ▶ Rs. 5,125

Firm "A" has the following information with regard to the production and sales of product XIT: selling price per unit is Rs. 15, total variable cost per unit is Rs. 9, total fixed costs are Rs.15, 000. What is the contribution margin percentage for XIT?

- ▶ 25%
- ▶ **40%**
- ▶ 60%

- ▶ 67%

Janet sells a product for Rs. 6.25. The variable costs are Rs. 3.75. Janet's break-even units are 35,000. What is the amount of fixed costs?

- ▶ **Rs. 87,500**
- ▶ Rs. 35,000
- ▶ Rs.131,250
- ▶ Rs. 104,750

All are examples of cash disbursements EXCEPT:

- ▶ Payment for materials purchased
- ▶ **Payment received as collection of accounts receivable**
- ▶ Payment of dividends
- ▶ Payment of taxes

A budget that requires management to justify all expenditures, rather than just changes from the previous year is referred to as:

- ▶ Self-imposed budget
- ▶ Participative budget
- ▶ **Zero-based budget**
- ▶ Perpetual budget

A relevant cost or benefit is one that will be affected by the decision. Which of the following should be regarded as relevant in the decision-making process?

- ▶ Fixed overheads
- ▶ Notional costs

- ▶ Sunk costs
- ▶ Opportunity costs

Which of the following is a purpose of Break-even chart with respect to its usage?

- ▶ To show the effect of change in circumstances
- ▶ To show the financial performance of business
- ▶ To show the financial health of business
- ▶ To calculate the cost of production

Which of the following budget includes an item of indirect labor cost?

- ▶ FOH cost budget
- ▶ Direct labor cost budget
- ▶ Direct material cost budget
- ▶ None of the given options

All of the followings are included in Fixed FOH Cost Budget EXCEPT:

- ▶ Building rent
- ▶ Insurance
- ▶ Supervisor's salary
- ▶ Heating and lighting

Samson Company is required by the bank to maintain a minimum cash balance of Rs. 8,000. The Company is preparing a cash budget for February. Samson's beginning cash balance is Rs. 10,000 and expects cash receipts of Rs. 20,500 and cash disbursements of Rs. 25,000 (including Rs. 3,000 of depreciation). The

company currently owes the bank Rs. 20,000. In order to have exactly the required minimum balance at the end of February, Samson must:

- ▶ Borrow Rs. 500
- ▶ **Repay Rs. 500**
- ▶ Borrow Rs. 2,500
- ▶ Repay Rs. 2,500

All of the following costs are irrelevant to decision making EXCEPT:

- ▶ Incremental cost
- ▶ **Sunk cost**
- ▶ Fixed cost
- ▶ Supervisor's routine salary

A company is undergoing a decision to select one product. The options available are Product 'A' which has a positive contribution margin and product 'B' which has a negative contribution margin. Which product would be selected?

- ▶ **Product "A"**
- ▶ Product "B"
- ▶ Both Product "A" and "B"
- ▶ Decision depends upon the availability of fixed cost.

You made Rs. 10,000 loan to your cousin's company. At the end of one year, the company returned to you Rs. 10,850. The Rs. 850 is called which one of the following?

- ▶ Increases in loan

- ▶ Increases in dividends
- ▶ An 8.5% return on investment
- ▶ All of the given options

Cost accounting concepts include all of the following EXCEPT:

- ▶ Planning
- ▶ Controlling
- ▶ Sharing
- ▶ Costing

According to IASB framework, Financial statements exhibit its users the:

- ▶ Financial position
- ▶ Financial performance
- ▶ Cash inflow and outflow analysis
- ▶ All of the given options

The net profit or loss for a particular period of time is reported on which of the following?

- ▶ Income statement
- ▶ Balance sheet
- ▶ Statement of cash flows
- ▶ Statement of changes in owner's equity

Which of the following cost is used in the calculation of cost per unit?

- ▶ Total production cost
- ▶ Cost of goods available for sales

- ▶ Cost of goods manufactured
- ▶ Cost of goods Sold

Direct Labor is an element of:

- ▶ Prime cost
- ▶ Conversion cost
- ▶ Total production cost
- ▶ All of the given options

The flux method of labor turnover denotes:

- ▶ Workers employed under the expansion schemes of the company
- ▶ The total change in the composition of labor force
- ▶ Workers appointed in replacement of existing employees
- ▶ Workers appointed against the vacancy caused due to discharge or quitting of the organization

Under applied FOH costs are:

- ▶ Fixed costs not allocated to units produced
- ▶ Factory overhead costs not allocated to units costs
- ▶ Excess variable factory overhead costs
- ▶ Costs that can not be controlled

PEL & co found that a production volume of 400 units corresponds to production cost of Rs, 10,000 and that a production volume of 800 units corresponds to production costs of Rs.12,000. The variable cost per unit would be?

- ▶ Rs. 5.00 per unit
- ▶ Rs. 1.50 per unit
- ▶ Rs. 2.50 per unit
- ▶ Rs. 0.50 per unit

Hogan Company plans to produce 5,000 wooden tables. Each table requires 10 bd. Ft. of lumber at a price of Rs. 2.50 per bd. Ft. The desired beginning and ending inventories of lumber are 10,000 and 20,000 board feet, respectively.

The total direct materials purchase cost for lumber is:

- ▶ Rs. 100,000
- ▶ Rs. 12,500
- ▶ Rs. 175,000
- ▶ Rs. 150,000

Which of the following department is more concerned with Direct Labor Cost?

- ▶ None of the given options
- ▶ Human resource department
- ▶ Marketing department
- ▶ Sales department

Which of the following item is NOT included in FOH cost budget?

- ▶ Indirect material cost
- ▶ Indirect labor cost
- ▶ Power and fuel
- ▶ Direct material cost

All of the following are the examples of administrative expenses EXCEPT:

- ▶ Salaries of employees
- ▶ Utility bills
- ▶ Interest paid on debt
- ▶ Depreciation of office equipment

The profit from operations of a company amounts to Rs. 85,000. The financial charges are Rs. 9,500. The tax rate applied is 25%. What would be the profit after tax of a company?

- ▶ Rs. 66,125
- ▶ Rs. 56,625
- ▶ Rs. 75,500
- ▶ Rs. 50,000

The following information is available for Atlas Corporation to prepare a cash budget for the month of September:

Cash on hand beginning of September Rs. 16,000

Expected receipts in September Rs. 272,000

Sales salaries paid Rs. 62,000

Material purchases (all in cash) Rs. 190,000

Depreciation Rs. 44,000

What is the ending cash balance in September?

- ▶ Rs. (8,000)
- ▶ Rs. 22,000

► **Rs. 36,000**

► Rs. 45,000

Quantum Leap Inc. is trying to prepare a purchases budget for next month.

Given the following information, how much will the company have to spend for merchandise purchases next month?

Estimated sales 250 units

Estimated beginning inventory 22 units

Estimated ending inventory 15 units

Estimated cost per unit Rs.450

► **Rs. 109,350**

► Rs.112, 500

► Rs.115, 650

► Rs.115, 920

Which of the following budget is the most important in service organizations?

► **Production budget**

► Merchandise purchases budget

► Direct labor budget

► Direct materials budget

Smith & Company estimate its overheads to produce 80,000 units are Rs.

1,000,000 (60 percent is variable). What would be the budgeted overhead at a capacity level of 100,000 units?

► Rs. 1,050,000

- ▶ Rs. 1,150,000
- ▶ **Rs. 1,250,000**
- ▶ Rs. 1,450,000

Income approach is used for the costing of which of the following?

- ▶ Joint products
- ▶ **By-products**
- ▶ Both Joint products and By-products
- ▶ None of the given options

Which of the following is NOT an element of cost?

- ▶ Direct Material Cost
- ▶ Direct Labour Cost
- ▶ FOH Cost
- ▶ **Cost of Goods Sold**

A company ABC has contribution to sales ratio of 17% and a profit to sales ratio of 6%. What will be the margin of safety ratio?

- ▶ 283.3%
- ▶ **35.3%**
- ▶ 11.5%
- ▶ It can not be calculated from the given data

What is the starting point of variable cost line on a break even chart at zero production level?

- ▶ **It must start from origin**

- ▶ It might start from origin
- ▶ It does not start from origin
- ▶ Non of the given options

Which of the following is TRUE at Break even point?

- ▶ Profit is zero
- ▶ Fixed cost + variable cost = sales
- ▶ Fixed cost = contribution margin

▶ All of the given options

If revenue is taken at vertical axis on a break even chart then which of the following will be taken at horizontal level?

- ▶ Cost
- ▶ Production
- ▶ Net income
- ▶ sales

Sales budget is a type of:

- ▶ Functional budget
- ▶ Master budget
- ▶ Cash budget
- ▶ Raw material budget

All of the following are features of a relevant cost EXCEPT:

- ▶ They affect the future cost
- ▶ They cause an increment in cost

► Relevant cost is a sunk cost

► They affect the future cash flows

A company is undergoing a decision to select one product. The options available are Product 'A' which has a positive contribution margin and product 'B' which has a negative contribution margin. Which product would be selected?

► Product "A"

► Product "B"

► Both Product "A" and "B"

► Decision depends upon the availability of fixed cost.

A contract will be rejected in which of the following condition?

► If it reduces the contribution margin

► If it increases the contribution margin

► If it reduces the fixed cost

► None of the given options

A forecast set of final accounts is also known as:

► Cash budget

► Capital budget

► Master budget

► Sales budget

Which of the following method of inventory valuation is not recommended under IAS 02?

► LIFO

- ▶ FIFO
- ▶ Weighted Average
- ▶ Both LIFO & FIFO

In cost Accounting, normal loss is/are charged to:

- ▶ **Factory overhead control account**
- ▶ Work in process account
- ▶ Income Statement
- ▶ All of the given options

In comparing common cost and joint cost:

- ▶ The terms can be correctly used interchangeably
- ▶ Both have the same objective of assigning production cost to cost center
- ▶ They differ since common cost products or services have been obtained separately
- ▶ **Common cost is sometime used as Joint cost**

Which of the following will be included in calculation of per unit cost under absorption costing?

- ▶ Direct materials, direct labor, fixed overhead
- ▶ Direct materials, direct labor and variable overhead
- ▶ **Direct materials, direct labor, variable overhead, fixed overhead**
- ▶ Only direct materials and direct labor

BDH produced 30,500 units of Kisty (a product). Each unit of Kisty takes two units of component L. Component L is budgeted to cost Rs. 12 per unit. Current

inventory of L is 4,000 units. BDH wants 6,000 units of L on hand at the end of the next year. How much will the direct materials budget show as the cost of materials to be purchased?

- ▶ Rs. 756,000
- ▶ **Rs. 390,000**
- ▶ Rs. 684,000
- ▶ Rs. 330,000

Which of the following manufacturers is most likely to use a job order cost accounting system?

- ▶ A soft drink producer
- ▶ A flour mill
- ▶ Tobacco manufacturing concern
- ▶ **A builder of offshore oil rigs**

The chief financial officer is also known as the:

- ▶ Controller
- ▶ Staff accountant
- ▶ Auditor
- ▶ **Finance director**

Which of the following is a period cost?

- ▶ Direct materials
- ▶ Indirect materials
- ▶ Factory utilities

► Administrative expenses

Which of the following is deducted from purchases in order to get the value of Net purchases?

► Purchases returns

- Carriage inward
- Custom duty
- All of the given options

Which of the following is correct?

► Units sold = Opening finished goods units + Units produced – Closing finished goods units

- Units Sold = Units produced + Closing finished goods units – Opening finished goods units
- Units sold = Sales + Average units of finished goods inventory
- Units sold = Sales - Average units of finished goods inventory

Which of the following method of inventory valuation is not recommended under IAS 02?

- LIFO
- FIFO
- Weighted Average
- Both LIFO & FIFO

While calculating the EOQ, carrying cost is taken as the:

► %age of unit cost

- ▶ %age of ordering cost
- ▶ %age of annual required units
- ▶ Total unit cost

In cost Accounting, normal loss is/are charged to:

- ▶ **Factory overhead control account**
- ▶ Work in process account
- ▶ Income Statement
- ▶ All of the given options

Which of the following is deducted from purchases in order to get the value of Net purchases?

- ▶ **Purchases returns**
- ▶ Carriage inward
- ▶ Custom duty
- ▶ All of the given options

Advantages of variable costing include which of the following?

- ▶ Data that is required for CVP analysis can be taken directly from the contribution margin format income statement
- ▶ All things being equal, profit for the period is not affected by changing inventories
- ▶ Profits tend to move in the same direction as sales
- ▶ **All of the given options**

Firm "A" has the following information with regard to the production and sales of product XIT: selling price per unit is Rs. 15, total variable cost per unit is Rs. 9, total fixed costs are Rs.15, 000. What is the contribution margin percentage for XIT?

- ▶ 25%
- ▶ 40%
- ▶ 60%
- ▶ 67%

Which of the following represents the calculation of contribution margin ratio?

- ▶ $(\text{Sales} - \text{Total Expenses}) / \text{Sales}$
- ▶ $(\text{Sales} - \text{Fixed Expenses}) / \text{Sales}$
- ▶ $(\text{Sales} - \text{Cost of Goods Sold}) / \text{Sales}$
- ▶ $(\text{Sales} - \text{Variable Expenses}) / \text{Sales}$

Which the following would be considered a Relevant Cost?

- ▶ The book value of the old equipment
- ▶ Depreciation expense on the old equipment
- ▶ The current disposal price of the old equipment
- ▶ Historical cost of an equipment

Which of the following statement is NOT true about overhead applied rates?

- ▶ They are predetermined in advance for each period
- ▶ They are used to charge overheads to product
- ▶ They are based on actual data for each period

- ▶ None of the given options

Which of the following is NOT a method of allocating joint costs?

- ▶ Selling price method
- ▶ Hypothetical market value method
- ▶ By-product method
- ▶ Physical quantity method

The Beta Company is planning to sell Product Alpha for Rs. 25 per unit. Variable costs are Rs. 10 per unit and fixed costs are Rs. 75,000. What amount of sales is required for zero profit?

- ▶ Rs. 187,500
- ▶ Rs. 118,500
- ▶ Rs. 150,000
- ▶ **Rs. 125,000**

The margin of safety can be defined as:

- ▶ The excess of budgeted or actual sales over budgeted or actual variable expenses
- ▶ The excess of budgeted or actual sales over budgeted or actual fixed expenses
- ▶ **The excess of budgeted or actual sales over the break-even volume of sales**
- ▶ The excess of budgeted net income over actual net income

Which one of the following is NOT a tool of financial forecasting?

- ▶ **Cash budget**
- ▶ Capital budget

- ▶ Pro forma balance sheet
- ▶ Pro forma income statement

Which of the following factor would determine the importance of direct labor cost budget in human resource department?

- ▶ Provide guidance about the requirements of number of work force
- ▶ Provide feed back about the working of workforce
- ▶ How much payroll will have been paid?
- ▶ **How the cost units will be produced?**

A job needs 3,000 actual labor hours to be completed. It is expected there will be 25% idle time. If the wage rate is Rs. 12.50 per hour, what is budgeted labor cost for the job?

- ▶ Rs. 26,000
- ▶ **Rs. 37,500**
- ▶ Rs. 50,000
- ▶ Rs. 42,000

Cash budget is based on which of the following concept?

- ▶ Accrual concept
- ▶ **Cash concept**
- ▶ Both cash and accrual concept
- ▶ Cost concept

Which of the following is true about flexible budget?

- ▶ A budget that always based on actual capacity

- ▶ A budget that is prepared using spreadsheet model
- ▶ A budget in which total variable cost remains unchanged
- ▶ Variable costs per unit will remain unchanged

Which of the following is the first step in the decision-making process?

- ▶ Clarify the decision problem
- ▶ Collect the data
- ▶ Select an alternative
- ▶ Develop a decision model

If units started in process are 25,000, units still in process are 5,000 and degree of completion is 100% materials & 40% conversation cost. Which of the following is Equivalent Production quantity of FOH cost?

- ▶ 25,000 units
- ▶ 22,000 units
- ▶ 15,000 units
- ▶ 15,000 units

Which of the following is the value of the benefit scarified when one decision is taken in preference to an alternative decision?

- ▶ Sunk cost
- ▶ Fixed cost
- ▶ Opportunity cost
- ▶ Unavoidable costs

If, units of goods to be sold are 800, closing finished goods units are 200 and opening finished goods units are 100. What is the required production?

- ▶ 900 units
- ▶ 1,000 units
- ▶ 700 units
- ▶ 600 units

The gross profit for the company amounts to Rs. 85,000. The selling and administration expenses are Rs. 35,000 and Rs. 20,000 respectively. The financial charges are Rs. 9,500. What would be the Profit before tax of a company?

- ▶ Rs. 35,000
- ▶ Rs. 30,000
- ▶ Rs. 20,500
- ▶ Rs. 50,000

Which of the following product cost is Included in prime cost and conversion cost?

- ▶ Work in Process
- ▶ Direct labor
- ▶ Manufacturing overhead
- ▶ Direct material

Period costs are:

- ▶ Expensed when the product is sold

- ▶ Included in the cost of goods sold
- ▶ Related to specific period
- ▶ Not expensed

If, cost of goods sold amounts to Rs. 50,000 and the sales are projected to be 130% of cost of sales. The selling expenses are projected to be 15% of cost of sales. What will be the amount of gross profit?

- ▶ Rs. 15,000
- ▶ Rs. 25,000
- ▶ **Rs. 7,500**
- ▶ Can not be calculated from given information

Cash inflow in cash budgeting comes from:

- ▶ Commission paid
- ▶ All of the given options
- ▶ **Collection on accounts receivable**
- ▶ Purchase of securities

All of the following are features of a relevant cost EXCEPT:

- ▶ They affect the future cost
- ▶ They cause an increment in cost
- ▶ **Relevant cost is a sunk cost**
- ▶ They affect the future cash flows

Which of the following statement is TRUE about opportunity cost?

- ▶ It is irrelevant to decision making

- ▶ It is always a sunk cost
- ▶ It is always a historical cost
- ▶ It is relevant to decision making

Superior Products makes a special ski. Next year Superior expects to produce 20,000 pairs of skis. Seven pounds of fiberglass are required to make each pair of skis. The company expects to have 21,000 lbs of fiberglass in inventory at the end of this year and next year wants to have an ending inventory of fiberglass of 18,000 lbs. How much fiberglass does Superior expect to purchase next year?

- ▶ 137,000 lbs
- ▶ 140,000 lbs
- ▶ 158,000 lbs
- ▶ 160,000 lbs

The contribution margin ratio is 30% for the Spice Co. and the breakeven point in sales is Rs. 150,000. If the company desires a target net income of Rs. 60,000, what would have to be the amount of actual sales?

- ▶ Rs. 200,000
- ▶ Rs. 350,000
- ▶ Rs. 250,000
- ▶ Rs. 210,000

Which of the following costs would NOT be a period cost?

- ▶ Indirect materials
- ▶ Administrative salaries

- ▶ Advertising costs
- ▶ Selling costs

Which of the following is CORRECT to calculate cost of goods manufactured?

- ▶ Direct labor costs plus total manufacturing costs
- ▶ The beginning work in process inventory plus total manufacturing costs and subtract the ending work in process inventory
- ▶ Beginning raw materials inventory plus direct labor plus factory overhead
- ▶ Conversion costs and work in process inventory adjustments results in cost of goods manufactured

Which of the following is TRUE for Merrick Differential System?

- ▶ Merrick Differential system is a slight modification of the Taylor's system
- ▶ Merrick Differential system used two rates of wage determination instead of three
- ▶ Normal piece rates are applicable at 75% of efficiency of worker
- ▶ Normal piece rates are applicable at 125% of efficiency of worker

The master budget usually begins with a:

- ▶ Production budget
- ▶ Direct materials budget
- ▶ Direct labor budget
- ▶ Sales budget

Which of the following best describe a flexible budget?

- ▶ A budget of variable production costs only

- ▶ A budget which shows the costs and revenues at different levels of activity
- ▶ A budget which is prepared using a computer spreadsheet model
- ▶ A budget which is updated with actual costs and revenues as they occur during the budget period

Which of the following is not true about differential costs?

- ▶ It is a broader concept than variable cost as it takes into account additional fixed costs caused by management decisions
- ▶ With the passage of time and change in situation, differential costs will vary
- ▶ The difference in cost between buying them from outside or make them in the company is differential cost, irrelevant for decisions
- ▶ They are extra or incremental costs caused by a particular decision

In one off contracts, a contract will probably be accepted if:

- ▶ It increases contribution margin and decreases profit
- ▶ It increases both contribution margin and profit
- ▶ It reduces contribution margin and increases profit
- ▶ It reduces both contribution margin and profits

Which of the following is NOT an element of factory overhead?

- ▶ Depreciation of the maintenance on equipment
- ▶ Salary of the plant supervisor
- ▶ Property taxes on the plant buildings
- ▶ Salary of a marketing manager

PEL & co found that a production volume of 400 units corresponds to production cost of Rs, 10,000 and that a production volume of 800 units corresponds to production costs of Rs.12,000. The variable cost per unit would be?

- ▶ **Rs. 5.00 per unit**
- ▶ Rs. 1.50 per unit
- ▶ Rs. 2.50 per unit
- ▶ Rs. 0.50 per unit

Which of the following will be included in calculation of per unit cost under variable costing?

- ▶ Only direct materials and direct labor
- ▶ Direct materials, direct labor, fixed overhead
- ▶ **Direct materials, direct labor and variable overhead**
- ▶ Direct materials, direct labor, variable overhead, fixed overhead

Accelerate Ltd has fixed costs of Rs. 72,000 per annum. It makes one product which it sells for Rs. 32 per unit. Its contribution to sales ratio is 45%.

Accelerates break even point in units is:

- ▶ **5,000 units**
- ▶ 7,000 units
- ▶ 2,250 units
- ▶ 2,750 units

The by-product of flour is:

- ▶ Fats
- ▶ Bran
- ▶ Glycerin
- ▶ Meat Hides

The by-product of oil and fuel is:

- ▶ Mobil oil and lubricating oils
- ▶ Kerosene oil and Asphalt and Tar
- ▶ Gasoline and Petroleum coke
- ▶ All of the given

The margin of safety can be defined as:

- ▶ The excess of budgeted or actual sales over budgeted or actual variable expenses
- ▶ The excess of budgeted or actual sales over budgeted or actual fixed expenses
- ▶ The excess of budgeted or actual sales over the break-even volume of sales
- ▶ The excess of budgeted net income over actual net income

A (an) _____ is financial plan of the resources needed to carry out activities and meet financial goals.

- ▶ Contribution Margin Statement
- ▶ Income Statement
- ▶ Budget
- ▶ Comprehensive Audit

Budget for an organization is prepared by which of the following person?

- ▶ Functional head
- ▶ **Manager**
- ▶ Auditor
- ▶ Administrator

Consider the following data for the month of April:

Closing stock 80 units

Production 280 units

Sales 330 units

Based on the data, the opening stock for April will have to be:

- ▶ 50 units
- ▶ 410 units
- ▶ 70 units
- ▶ **130 units**

If our sales are 120% of cost and sales in Rs. is 96,000. Then what will be the value of cost?

- ▶ **Rs. 80,000**
- ▶ Rs. 96,000
- ▶ Rs. 115,200
- ▶ Rs. 120,000

Quantum Leap Inc. is trying to prepare a purchases budget for next month.

Given the following information, how much will the company have to spend for merchandise purchases next month?

Estimated sales 250 units

Estimated beginning inventory 22 units

Estimated ending inventory 15 units

Estimated cost per unit Rs.450

▶ Rs. 109,350

▶ Rs.112, 500

▶ Rs.115, 650

▶ Rs.115, 920

Which of the following is true for the direct labor cost budget?

▶ In the direct labor budget, ending inventory is subtracted and beginning inventory is added

▶ The first line of the direct labor budget is total direct labor cost

▶ It is prepared from the sales budget

▶ It is prepared from the production budget

Hogan Company plans to assemble 5,000 tables. Each table requires 0.25 hours of direct labor at Rs. 19 per direct labor hour. The amount of direct labor that should be budgeted for is:

▶ Rs. 380,000

▶ Rs. 95,000

► Rs. 39,583

► Rs. 23,750

What is the starting point of variable cost line on a break even chart at zero production level?

► It must start from origin

► It might start from origin

► It does not start from origin

► Non of the given options

Which of the following is NOT the type of a functional budget?

► Sales budget

► Raw material budget

► Direct labour budget

► Cash budget

Which of the following is NOT an essential feature of a budget?

► There is a clearly defined budget period

► It is a combination of financial and non-financial data set by reference to key budget assumptions

► It shows the financial position of a company at a particular period

► It has been formally approved and accepted by managers

Production budget is a type of:

► Functional budget

► Master budget

- ▶ Cash budget
- ▶ Raw material budget

If, units of goods to be sold are 800, closing finished goods units are 200 and opening finished goods units are 100. What are the units of goods available for sale?

- ▶ 900 units
- ▶ 1,000 units
- ▶ 700 units
- ▶ 600 units

Which of the following item is NOT included in FOH cost budget?

- ▶ Indirect material cost
- ▶ Indirect labor cost
- ▶ Power and fuel
- ▶ Direct material cost

The contribution margin ratio is 30% for the Spice Co. and the breakeven point in sales is Rs. 150,000. If the company desires a target net income of Rs. 60,000, what would have to be the amount of actual sales?

- ▶ Rs. 200,000
- ▶ Rs. 350,000
- ▶ Rs. 250,000
- ▶ Rs. 210,000

If Selling price per unit Rs. 15.00; Direct Materials cost per unit Rs. 3.50; Direct Labour cost per unit Rs. 4.00 Variable Overhead per unit Rs. 2.00; Budgeted fixed production overhead costs are Rs. 60,000 per annum charged evenly across each month of the year. Budgeted production costs are 30,000 units per annum. What is the Net profit per unit under Absorption costing method.

- ▶ Rs. 9.50
- ▶ Rs. 15.00
- ▶ Rs. 11.50
- ▶ **Rs. 3.50**

_____ is the cost that is incurred at the time of making transaction.

- ▶ Product Cost
- ▶ Period Cost
- ▶ Sunk Cost
- ▶ **Historical Cost**

Machine lubricant used on processing equipment in a manufacturing plant would be classified as a:

- ▶ Period cost (manufacturing overhead)
- ▶ Period cost (Selling, General & Admin)
- ▶ **Product cost (manufacturing overhead)**
- ▶ Product cost (Selling, General & Admin)

All of the followings are the importance of direct labor cost budget EXCEPT:

- ▶ It provides the Human Resource Department about numbers & categories of the workforce required.
- ▶ It helps Human Resource Department for new recruitments or to identify surplus workforce.
- ▶ **It helps Human Resource Department to hold worker training programs.**
- ▶ It is helpful for knowing the maximum and minimum stock level.

Fixed budget is based on which of the following?

- ▶ Normal capacity
- ▶ **Actual capacity**
- ▶ Theoretical capacity
- ▶ None of the given options

Which of the following cost would be increases with an increase in activity level?

- ▶ **Incremental cost**
- ▶ Avoidable cost
- ▶ Sunk cost
- ▶ Opportunity cost

Advertisement and Research & development cost for a certain campaign is the best example of:

- ▶ **Committed fixed cost**
- ▶ Discretionary fixed cost
- ▶ Incremental cost

- ▶ Opportunity cost

A contract will be rejected in which of the following condition?

- ▶ If it reduces the contribution margin
- ▶ If it increases the contribution margin
- ▶ If it reduces the fixed cost
- ▶ None of the given options

Slowmo Corporation's ending finished goods inventory this period was Rs. 43,000. The company projects a cost of goods manufactured for the next period to be Rs. 567,000 and expects to have Rs. 36,000 in ending finished goods. Given this information, what is the expected cost of goods sold for the next period?

- ▶ Rs. 556,000
- ▶ Rs. 567,000
- ▶ **Rs. 574,000**
- ▶ Rs. 582,000

Brutus Company manufactures glass bottles. The company expects to sell 500,000 bottles next year. The budgeted ending inventory this year is 15,000 bottles and the desired ending inventory for next year is 12,000 bottles. It takes 5 pounds of sand to produce one bottle. The ending inventory of sand this year is expected to be 200,000 pounds, and the desired ending inventory next year is 100,000 pounds. The amount of direct material purchases is expected to be:

- ▶ **2,385,000 pounds**
- ▶ 2,465,000 pounds

- ▶ 2,585,000 pounds
- ▶ 2,600,000 pounds

BDH Corporation, which makes only one product, Kisty, has the following information available for the coming year. BDH expects sales to be 30,000 units at Rs. 50 per unit. The current inventory of Kisty is 3,000 units. BDH wants an ending inventory of 3,500 units. BDH pays its sales staff commission of 5% of sales. How much will be recorded on the marketing budget for sales commissions for the next period?

- ▶ **Rs. 75,000**
- ▶ Rs. 30,000
- ▶ Rs. 150,000
- ▶ Rs. 1,500,000

Which of the following is a period cost?

- ▶ Direct materials
- ▶ Indirect materials
- ▶ Factory utilities
- ▶ **Administrative expenses**

Which of the following costs would NOT be a period cost?

- ▶ **Indirect materials**
- ▶ Administrative salaries
- ▶ Advertising costs
- ▶ Selling costs

Which of the following is **CORRECT** to calculate cost of goods manufactured?

- ▶ Direct labor costs plus total manufacturing costs
- ▶ The beginning work in process inventory plus total manufacturing costs and subtract the ending work in process inventory
- ▶ Beginning raw materials inventory plus direct labor plus factory overhead
- ▶ Conversion costs and work in process inventory adjustments results in cost of goods manufactured

Which of the following statement is true regarding Repeated distribution method?

- ▶ The re-allocation continues until the numbers being dealt with become very small
- ▶ The re-allocation continues until the numbers being dealt with become very large
- ▶ The re-allocation continues until the numbers being dealt with become small
- ▶ None of the given options

The by-product of flour is:

- ▶ Fats
- ▶ Bran
- ▶ Glycerin
- ▶ Meat Hides

The by-product of oil and fuel is:

- ▶ Mobil oil and lubricating oils

- ▶ Kerosene oil and Asphalt and Tar
- ▶ Gasoline and Petroleum coke
- ▶ All of the given

If, fixed cost is Rs. 1,000 and variable cost is Rs. 6 per unit. The sales price is Rs. 10 per unit. 100 units have been produced. But no unit has been yet sold. Keeping in view the Sales level, our total cost will be equal to which of the following?

- ▶ Zero
- ▶ Rs. 1,000
- ▶ Rs. 6,000
- ▶ Rs. 7,000

While constructing production budget, numbers of units manufactured are calculated by which of the following formula?

- ▶ Number of units to be sold + closing units – opening units
- ▶ Number of units to be sold - closing units + opening units
- ▶ Number of units to be sold - closing units – opening units
- ▶ Number of units to be sold + closing units + opening units

Which of the following statement is TRUE about FOH applied rates?

- ▶ They are used to control overhead costs
- ▶ They are based on actual data for each period
- ▶ They are predetermined in advance for each period
- ▶ None of the given options

Examples of industries that would use process costing include all of the following EXCEPT:

- ▶ Beverages
- ▶ Food
- ▶ Hospitality
- ▶ Petroleum

A chemical process has no normal wastage of input. In a period, 3,500 Kg of material were input and there was abnormal loss of 15% of input. What quantity of good production was achieved?

- ▶ 2,175 Kg
- ▶ 2,975 Kg
- ▶ 3,325 Kg
- ▶ 4,425 Kg

Which of the following constitutes the basis on which joint costs are more frequently allocated?

- ▶ Physical volume of output
- ▶ Conversion costs
- ▶ Prime costs
- ▶ Market value

According to marginal costing concept, all fixed costs are considered as:

- ▶ Period cost
- ▶ Production cost

- ▶ Mixed cost
- ▶ Sunk cost

When closing stock is over valuate, what would its effect on profit?

- ▶ It will Increase the profit
- ▶ It will decrease the profit
- ▶ No effect on profit
- ▶ Can not determined with given statement

Once the fixed cost has been met, the remaining increase in contribution margin will be shows as which of the following option?

- ▶ Profit
- ▶ Variable cost
- ▶ Operating profit
- ▶ Sales volume

If the selling price and the variable cost per unit both decrease at 10% and fixed costs do not change, what is the effect on the contribution margin per unit and the contribution margin ratio?

- ▶ Contribution margin per unit and the contribution margin ratio both remains unchanged
- ▶ Contribution margin per unit and the contribution margin ratio both increases
- ▶ Contribution margin per unit decreases and the contribution margin ratio remains unchanged

► Contribution margin per unit increases and the contribution margin ratio remains unchanged

Gleason Company has budgeted Rs. 15,000 in variable factory overhead costs and Rs. 10,000 in fixed factory overhead costs for the production of 2,000 units requiring 4,000 direct labor hours. The standard factory overhead rate per direct labor hour and the standard overhead cost per unit are:

- Rs. 12.50, Rs. 6.25
- Rs. 7.50; Rs. 15.00
- Rs. 15.00, Rs. 7.50
- **Rs. 6.25, Rs. 12.50**

A job needs 3,000 actual labor hours to be completed. It is expected there will be 25% idle time. If the wage rate is Rs. 12.50 per hour, what is budgeted labor cost for the job?

- Rs. 26,000
- **Rs. 37,500**
- Rs. 50,000
- Rs. 42,000

Which of the following factor/s should be considered while constructing an administrative selling expense budget?

- Fixed expenses
- Past experience
- Variable expenses

▶ All of the given options

During the year 60,000 units put in to process. 55,000 units were completed.

Closing WIP were 25,000 units, 40% completed. How much the equivalent units of output would be produced?

▶ 65,000 units

▶ 80,000 units

▶ 25,000 units

▶ 10,000 units

All of the following are deducted from Gross Profit to calculate Operating income EXCEPT:

▶ Selling expenses

▶ Advertising expenses

▶ Administrative expenses

▶ Financial expenses

Cost apportionment is:

▶ The charging of discrete identifiable items of cost to cost centers or cost unit

▶ The collection of costs attributable to cost center and cost unit using the costing method, principles and techniques prescribed for a particular business entity

▶ The process of establishing the costs of cost centers or cost units

▶ The division of costs among two or more cost centers in proportion to the estimated benefit received.

Process costing is characterized by which of the following?

- ▶ High production volume and heterogeneous products
- ▶ **High production volume and homogeneous products**
- ▶ Low production volume and heterogeneous products
- ▶ Low production volume and homogeneous products

Which of the following product always possess a lower selling price then the main product?

- ▶ **By-product**
- ▶ Joint product
- ▶ Both By-product and Joint product
- ▶ None of the given options

If, Total fixed cost Rs. 2,000, Variable manufacturing cost Rs. 4,000, Variable selling cost Rs. 3,000 and Sales Rs. 10,000 then what is the amount of margin available to recover fixed cost?

- ▶ **Rs.6,000**
- ▶ Rs.3,000
- ▶ Rs.7,000
- ▶ Rs.8,000

If units started in process are 25,000, units still in process are 5,000 and degree of completion is 100% materials & 40% conversation cost. Which of the following is Equivalent Production quantity of FOH cost?

- ▶ 25,000 units

- ▶ 22,000 units
- ▶ 15,000 units
- ▶ 15,000 units

Product cost under absorption costing is characteristically:

- ▶ Higher than under variable costing.
- ▶ Lower than under variable costing.
- ▶ Equal to variable costing.
- ▶ Higher sometimes and lower sometimes than variable costing.

A company has budgeted sales of Rs. 8,000 and breakeven sales of Rs. 5,000 during a particular period. What will be the margin of safety?

- ▶ Rs. 3,000
- ▶ Rs. 13,000
- ▶ Rs. 6,500
- ▶ Rs. 5,000

The gap between the Break even sales and Budgeted sales on graph is called:

- ▶ Margin of safety
- ▶ Danger level
- ▶ Income
- ▶ Loss

Which of the following is NOT the type of a functional budget?

- ▶ Sales budget
- ▶ Raw material budget

- ▶ Direct labour budget
- ▶ Cash budget

The master budget usually begins with a:

- ▶ Production budget
- ▶ Direct materials budget
- ▶ Direct labor budget
- ▶ Sales budget

Which of the following budget shows a summary of all operational budgets?

- ▶ Income statement budget
- ▶ Cost of goods sold budget
- ▶ Cash budget
- ▶ Flexible budget

The basic difference between a static budget and a flexible budget is that:

- ▶ Flexible budgets allow management latitude in meeting goals, whereas a static budget is based on a fixed standard
- ▶ A static budget is for an entire production facility, but a flexible budget is applicable only to a single department
- ▶ A static budget is based on one specific level of production and a flexible budget can be prepared for any production level within a relevant range
- ▶ A flexible budget considers only variable costs, but a static budget considers all costs

Smith & Company estimate its overheads to produce 80,000 units are Rs. 1,000,000 (60 percent is variable). What would be the budgeted overhead at a capacity level of 100,000 units?

- ▶ Rs. 1,050,000
- ▶ Rs. 1,150,000
- ▶ **Rs. 1,250,000**
- ▶ Rs. 1,450,000

The use of budgets to control a firm's activities is called:

- ▶ Budget planning
- ▶ **Budgetary control**
- ▶ Master budget allocation
- ▶ Budget costing

Which the following would be considered a Relevant Cost?

- ▶ The book value of the old equipment
- ▶ Depreciation expense on the old equipment
- ▶ **The current disposal price of the old equipment**
- ▶ Historical cost of an equipment

Which of the following is a process by which managers analyze options available to set courses of action by the organization?

- ▶ Heuristics method
- ▶ **Decision making**
- ▶ The Delphi technique

- ▶ Systematic error

To maximize total contribution margin, a firm should:

- ▶ Promote those products having the highest unit contribution margins
- ▶ Promote those products having the highest contribution margin ratios
- ▶ Promote those products having the highest contribution margin per unit of a constrained resource
- ▶ Promote those products having the highest contribution margins and contribution margin ratios

If:

Cost of goods available for sales Rs. 7,000

Cost of opening finished goods inventory is Rs. 1,000

Commercial expenses Rs. 2,000.

Which of the following is the cost of goods to be produced?

- ▶ Rs. 6,000
- ▶ Rs. 4,000
- ▶ Rs. 8,000
- ▶ Rs. 10,000

Questions:

- Saad Manufacturing Company estimates its production requirements to be 900 units for January, 2,100 units for February and 3,350 units for

March. It takes 3 direct labor hours at a rate of Rs. 3.10 per hour to complete one unit. Prepare direct Labor cost budget for three months.

- **The following information is available for Ahmed Corporation.**

Sales price per unit Rs. 15

Variable manufacturing cost per unit of production 8

Total annual fixed manufacturing cost 25,000

Variable administrative cost per unit of production 3

Total annual fixed marketing and administrative expenses 15,000

There was no inventory at the beginning of the year. Normal capacity is 12,500 units. During the year, 12,500 units were produced and 10,000 units were sold.

Required:

- (1) Ending inventory using marginal costing method
- (2) Ending inventory using absorption costing method
- (3) Total variable cost charged to expense for the year by using marginal costing method.
- (4) Total fixed cost charged to expense for the year by using absorption costing method.

- **Nomi Limited budgets to make 4,000 units of product X and estimates that the standard material cost per unit will be Rs. 6. In fact 3,800 units are produced at a material cost of Rs. 24,700. For the purpose of budgetary control, what will be the actual and budgeted figure of material cost?**

- Differentiate between joint products and by products with the help of examples.
- How a flexible budget differs from a fixed budget?
- There are two approaches of accounting treatment of "By-Product" define it.
- The Lee Manufacturing Company estimates its production requirements to be 880 units for January, 1,580 units for February and 790 units for March. It takes 3 direct labor hours at a rate of Rs. 2.25 per hour to complete one unit.

Prepare direct Labor cost budget for three months.

- What factors should be considered in deciding whether to use job order costing or process costing in any given production situation?
- The Gulzar lodge had sales of Rs.4, 500,000. The fixed expense was Rs. 1,200,000 and the variable expense totaled Rs.1, 800,000. Calculate the contribution margin ratio?
- Enlist various sections of a cost of production report?